Business Requirements Document

Project 2 · Loan Origination System (LOS) Transformation

Purpose. Define the business need, outcomes, scope and business-level requirements for transforming the loan application journey from submission through decision.

1. Executive summary

The current loan origination process includes manual steps that can slow application handling and decision-making. The project maps the end-to-end journey using BPMN 2.0, identifies bottlenecks, compares the current process with a proposed digital workflow, and uses rejection-trend analysis to inform business-rule refinement. The intended outcome is a more consistent, traceable and efficient loan decision process.

Source outcomes The supplied project summary reports four critical bottlenecks identified and a 20% improvement in loan decision turnaround time. These are recorded as reported project outcomes; the baseline, measurement period and calculation method should be validated.

2. Business problem and opportunity

- Manual handoffs and repeated data entry may extend the time between application submission and decision.
- Bottlenecks in the existing process can create queues, rework and inconsistent processing times.
- Limited visibility into rejection patterns can make it harder to identify unclear or ineffective business rules.
- A documented digital process can clarify responsibilities, standardize checks and give development and QA teams an agreed target workflow.

3. Business objectives and measures

Objective	Measure	Validation approach
Shorten decision turnaround	20% improvement reported	Compare median or agreed average elapsed time from submission to decision against a defined baseline.
Remove process bottlenecks	Four critical bottlenecks identified	Review current-state BPMN map and confirm each bottleneck with process owners and available data.
Improve rule quality	Rejection-trend analysis informs rule refinement	Review rejection reason distribution, data quality and rule outcomes with credit/risk stakeholders.
Improve delivery readiness	Requirements handed to development and QA	Confirm requirements are traceable, testable, prioritized and approved.
Increase process transparency	Current-state and proposed-state process maps available	Stakeholder walkthrough and approval of BPMN 2.0 diagrams.

4. Scope

In scope

- Map the loan application journey from submission through decision using BPMN 2.0.
- Document the current manual workflow and four identified bottlenecks.
- Perform gap analysis between current-state and proposed digital processes.
- Analyze rejection trends using SQL queries and Excel pivot tables.
- Document business and functional requirements for a development and QA handoff.

- Use JIRA to track requirements, decisions, issues and delivery work as agreed by the team.

Out of scope unless separately approved

- Setting or changing lending policy, credit appetite, pricing or regulatory policy without formal business approval.
- Selecting a specific LOS vendor or defining a full technical architecture before discovery.
- Automating credit decisions without approved policy rules, validation and appropriate controls.
- Redesigning downstream servicing, collections or loan closure processes unless required by the agreed scope.

5. Stakeholders and responsibilities

Stakeholder	Responsibility
Loan operations	Explain current steps, queues, exceptions and operational pain points; validate proposed process.
Credit / underwriting	Confirm decision rules, manual review criteria, exception handling and decision authority.
Risk / compliance	Review policy alignment, auditability, data use and regulatory/control requirements.
Business analyst	Facilitate workshops, model BPMN flows, perform gap analysis and maintain requirement traceability.
Data / reporting analyst	Validate SQL logic, rejection categories, source data and KPI calculations.
Development team	Assess feasibility, design and implement approved requirements.
QA team	Create test coverage from requirements, business rules and exception paths.
Product / process owner	Prioritize scope, resolve conflicts and approve business outcomes.

6. Business requirements

ID	Requirement	Priority
BR-01	The end-to-end loan application journey shall be documented from submission to decision, including actors, handoffs and decision points.	Must
BR-02	The current-state process shall identify delays, rework, queues and control points, including the four bottlenecks reported by the project.	Must
BR-03	A proposed digital process shall address validated gaps while preserving required credit, risk and compliance controls.	Must
BR-04	Business rules and decision outcomes shall be documented in a way that is clear, traceable and testable.	Must
BR-05	Rejection trends shall be analyzed using agreed reason categories and validated data definitions.	Must
BR-06	The process shall provide clear ownership for application review, exceptions and decision communication.	Must
BR-07	The solution shall support visibility into application status, pending actions and elapsed processing time, where supported by the chosen platform.	Should
BR-08	Requirements shall be traceable through JIRA or the agreed delivery repository to design, development and QA tests.	Must
BR-09	Performance improvements shall be measured against an agreed baseline and reporting period.	Must
BR-10	The process shall retain decision rationale and required audit evidence in line with organizational policy.	Must

7. High-level business process

1. Applicant submits a loan application and the required information.
2. The application is registered and checked for completeness.
3. Missing information is requested or the application is routed to the next valid step.
4. Eligibility and credit checks are performed according to approved business rules.
5. The application is routed for automated assessment, manual underwriting or exception review as applicable.

6. An authorized decision is recorded with the required rationale and audit evidence.
7. The applicant and relevant internal teams are notified of the decision and any next steps.
8. Operational data is captured for turnaround-time and rejection-trend reporting.

8. Assumptions, dependencies and constraints

- The exact loan product types, channels and applicant segments must be confirmed.
- The current LOS, source systems, integration capabilities and data ownership are not specified in the source summary.
- Credit policy and regulatory requirements remain authoritative; process efficiency must not bypass required controls.
- Rejection reason definitions, treatment of incomplete applications and turnaround-time start/end events must be agreed.
- The reported 20% turnaround improvement requires a documented baseline and comparable measurement period.

9. Risks and mitigations

Risk	Impact	Mitigation
Incorrect process assumptions	Digital workflow may not reflect actual operations.	Walk through BPMN models with frontline users and process owners.
Poor rejection data quality	Misleading conclusions about policy or process.	Validate SQL joins, nulls, duplicate records, reason codes and time windows.
Unintended policy change	Credit or compliance exposure.	Require formal approval for rule changes and preserve decision audit trails.
Unclear exception ownership	Applications stall in queues.	Define owner, SLA, escalation path and allowed next actions for each exception.
Unverified benefit claim	Benefits cannot be demonstrated reliably.	Agree baseline, metric definition, cohort and measurement period before release.

10. Acceptance and sign-off

The BRD is ready for approval when business owners agree on the problem statement, scope, business requirements, measurement approach, key controls and outstanding decisions.

Role	Name	Decision / date
Loan process owner	To be completed	To be completed
Credit / underwriting	To be completed	To be completed
Risk / compliance	To be completed	To be completed
Product / delivery owner	To be completed	To be completed

Tools referenced

BPMN 2.0 · SQL · Excel Pivot Tables · Gap Analysis · Process Mapping · JIRA